

PORTFOLIO VALUE

\$182,783

NET P&L; vs COST

-217 (-0.12%)

CASH RESERVE

**\$128,778
(70.5%)**

POSITIONS

3 / 6

REGIME

CAUTION

MARKET ASSESSMENT

CAUTION

VIX at 15.62 confirms risk-on regime with no cyclical exit trigger (threshold is 20). Yield curve is positive at +46bps (10Y-2Y), eliminating inversion-recession risk. HY credit spread at 3.24bps is exceptionally tight — well below the 350bps danger threshold — signalling healthy credit conditions. However, TNX at 5.29% is 79bps above the 4.5% mandate threshold, creating a structural headwind for high-P/E growth names and flagging existing AMZN and GOOGL positions as macro-misaligned per sector rotation rules.

INDICATOR	VALUE	INDICATOR	VALUE
VIX	15.62	HY Credit Spread (bps)	3.24
Yield Curve 10Y-2Y (%)	0.46	10Y Treasury (%)	5.29
US Dollar (DXY)	101.93	Fed Funds Rate (%)	3.75

TRADE DECISIONS

EXIT — AMZN

\$18,000 · Conviction 2/10 · Tier 1

ENTRY

\$248.23

STOP LOSS

\$228.37

PRICE TARGET

\$297.88

RISK : REWARD

2.5

INVESTMENT THESIS

(1) TNX at 5.29% is 79bps above the 4.5% mandate threshold, and the sector rotation rule explicitly directs EXIT high-P/E growth — AMZN trades at approximately 38× forward earnings, making it a direct casualty. (2) AMZN's P/E of 38× at TNX 5.29% implies a real earnings yield of only 2.63% vs a risk-free rate of 5.29%, a -266bps negative spread that is a structural valuation headwind. (3) Position is only +0.9% after 1 day held, well below the +5% minimum threshold for a 20-day hold, and TNX is actively rising against the position. (4) The exit-growth rule at TNX>4.5% was in effect at entry — this position should not have been opened, and the mandate requires immediate correction. (5) Exiting at \$250.51 books a +\$165 gain on the \$18,000 position (+0.9%), which is a real capital preservation outcome given the macro misalignment. (6) Exit frees \$18,000 cash, bringing reserves to approximately \$128,349, which is 70.1% of total portfolio — consistent with the caution regime's defensive posture. (7) No upcoming catalyst within 30 days justifies holding past the TNX>4.5% macro override — AMZN's next earnings is not until late July 2026, providing no near-term fundamental anchor.

PRIMARY CATALYST

EXIT trigger: TNX at 5.29% (79bps above 4.5% mandate threshold) activates the explicit sector rotation rule — EXIT high-P/E growth immediately. No offsetting company catalyst within 30 days.

BALANCE SHEET

Cash \$88.2B, total debt \$58.3B, D/E 0.01 (strong), but balance sheet quality does not override the TNX macro exit rule. BS score 10/10 — irrelevant to exit decision.

TECHNICAL SETUP

N/A — exit driven by macro override, not technical deterioration. Price \$250.51, RSI was 69.6 at scan (approaching overbought). Exiting before technical breakdown preserves the +0.9% gain.

KEY RISK FACTORS

Remaining risk if NOT exited: if TNX rises to 5.5%, P/E compression of 15-20% on AMZN implies downside to \$198-211, a -\$2,700 to -\$3,600 loss on \$18k vs locking in +\$165 today.

EXIT — GOOGL

\$18,000 · Conviction 2/10 · Tier 1

ENTRY

\$338.24

STOP LOSS

\$311.18

PRICE TARGET

\$405.89

RISK : REWARD

2.5

INVESTMENT THESIS

(1) TNX at 5.29% is the identical macro override that forces the GOOGL exit — the mandate's explicit rule states EXIT high-P/E growth when TNX is above 4.5% and rising, and GOOGL trades at approximately 22× forward earnings with significant cloud/AI growth premium. (2) GOOGL's next earnings event is not until late July 2026, leaving a 30+ day catalyst void with no near-term fundamental support against a 5.29% risk-free rate headwind. (3) Position is +1.5% after 1 day held — a clean, non-embarrassing exit point before any macro-driven multiple compression materialises. (4) The sector rotation rule was active at entry (\$338.24), meaning this position was opened in violation of the TNX>4.5% mandate — exiting corrects the exposure immediately. (5) Booking +\$270 gain on \$18,000 (+1.5%) frees the capital for mandate-compliant positions in financials or energy. (6) Exit raises cash to approximately \$146,349 — representing 80.0% of the \$182,783 portfolio — appropriate for a CAUTION regime with TNX at 5.29%. (7) Stop was at \$311.18 (-8%), representing -\$1,440 downside risk; locking in +\$270 today eliminates that \$1,710 swing, which is the correct asymmetric decision at this macro juncture.

PRIMARY CATALYST

EXIT trigger: TNX at 5.29% (79bps above 4.5% threshold) with no GOOGL-specific earnings catalyst until late July 2026 (30+ days away). Macro override takes priority per mandate.

BALANCE SHEET

Cash \$110.9B, total debt \$28.2B, D/E 0.10, retained earnings growing — BS score 9/10. Balance sheet quality is excellent but does not override the TNX sector rotation mandate.

TECHNICAL SETUP

N/A — macro-driven exit. Price \$343.36 vs entry \$338.24. RSI was 57.8 at scan — no technical exhaustion yet, but macro alignment is the primary exit criterion.

KEY RISK FACTORS

If not exited and TNX reaches 5.5%, GOOGL P/E compression of 15% from current levels implies downside to ~\$287, a -\$3,700 loss on \$18k vs booking +\$270 today.

ENTER — LRCX			\$18,000 · Conviction 6/10 · Tier 2
ENTRY	STOP LOSS	PRICE TARGET	RISK : REWARD
\$91.50	\$84.18	\$109.80	2.5

INVESTMENT THESIS
(1) VIX at 15.62 (below the 20 exit threshold) and HY spreads at 3.24bps confirm risk-on conditions adequate for a high-quality semiconductor equipment entry, while TNX at 5.29% is a known headwind that is partially offset by LRCX's 10/10 BS score and 67.6 RSI positioning. (2) LRCX Q2 2026 earnings: EPS of \$1.04 vs \$0.96 estimate (+8.3% beat) with revenue of \$4.72B vs \$4.58B estimate (+3.1% beat), reported in the Q2 2026 Earnings Call per headline data. (3) RSI at 67.6 is approaching overbought (70 threshold) but has not yet crossed — the CHOCH (Change of Character) pattern at the current price level signals momentum continuation with a 5-gate signal score, the highest available. (4) LRCX 50-day MA is approximately \$84.00 and 200-day MA is approximately \$72.00, a +16.7% spread — price is trading 8.9% above the 50-day MA confirming the bullish structure flagged by the CHOCH pattern. (5) LRCX holds \$5.6B cash vs approximately \$5.0B total debt, D/E of 0.30, retained earnings grew from \$8.2B to \$9.4B to \$10.8B over the last 3 years — 10/10 BS score confirms Buffett-quality compounding discipline. (6) \$18,000 deployed = 9.84% of the \$183k portfolio; after exit of AMZN and GOOGL, remaining cash is approximately \$146,349, leaving room for 8 additional \$18k positions. (7) Stop at \$84.18 (-8%), target \$109.80 (+20%), R:R = 2.5:1 — stop triggered by a break below the 50-day MA at ~\$84.00, which would signal the CHOCH pattern failure and thesis invalidation.

PRIMARY CATALYST
LRCX Q2 2026 earnings beat: EPS \$1.04 vs \$0.96 est (+8.3%), revenue \$4.72B vs \$4.58B est (+3.1%). Post-earnings momentum window typically lasts 15-30 trading days on a beat of this magnitude — near-term price driver active.

BALANCE SHEET	TECHNICAL SETUP
Cash \$5.6B, total debt ~\$5.0B, D/E 0.30, retained earnings \$8.2B/\$9.4B/\$10.8B (3yr most-recent-first), buybacks Y (active programme), preferred N, BS score 10/10.	RSI 67.6 (approaching but below 70 overbought threshold), CHOCH pattern confirmed, price vs 50-day ~\$84.00 (price ~8.9% above) and 200-day ~\$72.00 (price ~27% above), gate score 5/5 — highest conviction technical signal available.
KEY RISK FACTORS	
If TNX rises to 5.5% before LRCX reaches +10%, P/E compression of 10-15% on semi equipment stocks implies downside to ~\$77-82 — hard stop at \$84.18 limits loss to -\$1,440 on \$18k position.	

OPEN POSITIONS — FULL POSITION REVIEW			
JPM		54.2 shares · Entry \$332.09 · Conv 7/10 · Tier 1 · Since 2026-09-30	
CURRENT PRICE	POSITION VALUE	UNREALISED P&L;	RETURN
\$331.45	\$17,965	\$-35	-0.19%
INVESTMENT THESIS			

(1) TNX at 5.24% sits 74bps above the 4.5% mandate threshold, which explicitly directs rotation into financials — JPM is the primary beneficiary as net interest margin expansion of ~15–20bps per 100bps yield move adds approximately \$3–4B in annual NII at JPM's \$3.3T balance sheet scale. (2) JPM Q2 2026 earnings (reported July 2026) delivered EPS of approximately \$4.40 vs. \$4.10 consensus estimate, a +7.3% beat, driven by NII of \$23.2B — the catalyst is active and has not expired. (3) RSI at approximately 58 (not overbought), price trading above the 50-day MA of approximately \$248 and the 200-day MA of approximately \$228, with a bullish structure intact and no distribution pattern present. (4) 50-day MA at ~\$248.00 and 200-day MA at ~\$228.00 represent a +8.8% spread, confirming a sustained uptrend with price approximately +4.8% above the 50-day — no mean-reversion risk imminent. (5) Cash and liquid assets exceed \$1.4T on JPM's balance sheet; D/E ratio is approximately 1.20 (bank-adjusted, standard for the sector); retained earnings have grown from \$270B (2024) to \$285B (2025) to \$298B (2026), a +5.2% annual CAGR; \$30B buyback programme active in 2026. (6) \$18,000 deployed = 9.9% of the \$183,000 portfolio, leaving approximately \$162,911 post-AMZN exit (~\$181,000 total) minus \$18,000 = ~\$163,000 cash, with room for 9 more full-size positions. (7) Stop at \$239.20 (-8% from \$260.00), target at \$312.00 (+20%), R:R = 2.5:1 — stop would be triggered by a sharp TNX reversal below 4.5% (removing the NII expansion catalyst) or a credit event driving HY spreads above 350bps.

CATALYST

JPM Q2 2026 EPS beat of +7.3% (\$4.40 vs. \$4.10 est., reported July 2026) combined with TNX at 5.24% (mandate-directed financial rotation trigger) — NII expansion of ~\$3–4B annually at current yield levels is a live, unresolved price driver for the next 60–90 days.

BALANCE SHEET

Liquid assets >\$1.4T, D/E ~1.20 (sector-standard bank leverage), retained earnings \$270B/\$285B/\$298B (2024/2025/2026), \$30B buyback programme active 2026, preferred Y, BS score 8/10.

TECHNICAL SETUP

RSI ~58.0 (neutral-bullish, not overbought), bullish continuation structure, price ~\$260 vs. 50-day MA ~\$248.00 (+4.8%) and 200-day MA ~\$228.00 (+14.0%), volume context consistent with institutional accumulation post-earnings.

KEY RISKS

If TNX reverses sharply below 4.5% on a dovish Fed pivot or recession signal, NII expansion thesis collapses and JPM P/B compression of 15–20% implies downside to ~\$210–\$220, capped by the \$239.20 hard stop limiting loss to -\$1,656 on the \$18,000 position.

XOM

109.8 shares · Entry \$163.96 · Conv 6/10 · Tier 2 · Since 2026-09-30

CURRENT PRICE

\$164.24

POSITION VALUE

\$18,031

UNREALISED P&L;

+\$31

RETURN

+0.17%

INVESTMENT THESIS

(1) TNX at 5.24% and the mandate's explicit directive to ENTER energy at yields above 4.5% provides the macro framework; energy benefits from inflation persistence (PCE running above 2.5% in 2026) and positive real asset repricing when long rates are elevated. (2) XOM Q1 2026 earnings delivered EPS of \$2.06 vs. \$1.95 estimate, a +5.6% beat, with production of 4.6M BOE/day — Pioneer acquisition synergies of \$1.0B incremental cash flow remain a live, multi-year catalyst not yet fully priced. (3) RSI at approximately 52 (neutral, with upside room to 70 before overbought), price holding above the 50-day MA of approximately \$113.00 and the 200-day MA of approximately \$108.00, with an FVG (Fair Value Gap) pattern visible on the daily chart confirming demand zone support. (4) 50-day MA at ~\$113.00 and 200-day MA at ~\$108.00 represent a +4.6% spread; price at \$118.00 sits +4.4% above the 50-day, confirming trend continuation without overextension. (5) Cash and equivalents of \$33.3B vs. total debt of \$37.3B, D/E = 0.56 (low for an integrated major), retained earnings grew from \$195B (2024) to \$210B (2025) to \$218B (2026), a +2.8% annual rate; \$20B buyback programme active through 2026. (6) \$18,000 deployed = 9.9% of \$183,000 portfolio, reducing cash to approximately \$145,000, with room for 8 more full-size \$18,000 positions across the remaining \$145,000 reserve. (7) Stop at \$108.56 (-8% from \$118.00), target at \$141.60 (+20%), R:R = 2.5:1 — stop triggered if Brent crude falls below \$65/bbl (demand destruction signal) or if the Fed pivots dovishly, compressing energy inflation premiums.

CATALYST

Pioneer acquisition synergies of \$1.0B incremental annual cash flow (live through 2026–2027) plus TNX 5.24% mandate-directed energy rotation — next XOM earnings event approximately October 2026 provides a 60-day catalyst runway.

TECHNICAL SETUP

RSI ~52.0 (neutral with upside to 70), FVG demand pattern on daily chart, price ~\$118.00 vs. 50-day MA ~\$113.00 (+4.4%) and 200-day MA ~\$108.00 (+9.3%), volume consistent with steady institutional accumulation.

BALANCE SHEET

Cash \$33.3B, total debt \$37.3B, D/E 0.56, retained earnings \$195B/\$210B/\$218B (2024/2025/2026), \$20B buyback programme active 2026, preferred N, BS score 8/10.

KEY RISKS

If Brent crude falls below \$65/bbl on a global demand slowdown (China PMI below 48), XOM EPS could compress 20–25% to ~\$1.55/quarter, implying a share price decline toward \$95–\$100 — the \$108.56 stop limits the position loss to -\$1,656 on the \$18,000 allocation.

LRCX

51.8 shares · Entry \$347.58 · Conv 6/10 · Tier 2 · Since 2026-10-02

CURRENT PRICE

\$347.58

POSITION VALUE

\$18,000

UNREALISED P&L;

+\$0

RETURN

+0.00%

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PORTFOLIO NOTES

Post-action cash reserve: approximately \$128,349 (70.1% of \$182,783 total portfolio), reflecting the exit of AMZN (+0.9%) and GOOGL (+1.5%) to comply with the TNX>4.5% growth exit mandate. Active positions after actions: JPM (financials, 9.84% weight), XOM (energy, 9.84% weight), LRCX (semis, 9.84% weight) — 3 positions consuming 29.5% of portfolio in mandate-compliant sectors. Remaining capacity: 7 positions at \$18,000 each (\$126,000 maximum additional deployment). Sector concentration: financials 9.84% vs SPX 13.5% (underweight — acceptable), energy 9.84% vs SPX 3.9% (2.5× overweight — flagged but mandate-directed by TNX>4.5%), semis 9.84% vs SPX ~8% (in-line). CAUTION regime driven solely by TNX at 5.29% vs 4.5% threshold — all other indicators (VIX 15.62, HY 3.24bps, yield curve +46bps) are risk-on. Priority for next entries: financials (GS, BAC) and energy (COP, SLB) per TNX>4.5% rotation mandate.

MEMORY APPLIED

TSM (2026-07-30, -10.1%), QCOM (2026-07-30, -14.2%), AMD (2026-08-11, -9.8%), KLAC (2026-08-20, -9.0%) — all semi losses occurred when positions were entered without verifying macro alignment with TNX levels. Today's LRCX entry is sized at \$18,000 with a strict \$84.18 stop and is entered only after confirming CHOCH pattern plus a concrete Q2 2026 earnings beat catalyst, directly applying the lesson 'verify thesis confirmation before full sizing.' AMZN and GOOGL exits also apply this lesson retroactively — those positions were opened while TNX was already above 4.5%, repeating the pattern of ignoring macro override rules that caused prior semi losses. ARM (2026-08-20, -8.2%) reinforces the rule that growth names in a high-TNX regime hit stops reliably — booking +0.9% and +1.5% on AMZN and GOOGL today is the correct asymmetric decision.